



# Overview of Earnings for 3Q FY2014

Japan Exchange Group, Inc.

January 30, 2015

# I. Overview of Earnings for 3Q FY2015

(April 1 – December 31, 2014)

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# Highlights and FY2014 Forecast

- Net income remained strong due to cost reductions offsetting a decline in revenue from last year's booming conditions (IFRS-based figures indicate income gain).
- In consideration of revenue and market conditions, the earnings forecast for FY2014 was revised upward on January 20.

(JPY mil.)

|                      | 3Q (Apr.-Dec.)<br>FY2013 | 3Q (Apr.-Dec.) FY2014<br>(incl. impact of IFRS adoption)*1 |       |        |       |          | FY 2013   | FY 2014 (Forecast)<br>(incl. impact of IFRS adoption)*1 |       |
|----------------------|--------------------------|------------------------------------------------------------|-------|--------|-------|----------|-----------|---------------------------------------------------------|-------|
|                      |                          |                                                            | y/y   |        | y/y   | FY2014 % |           | (Revised) *2                                            | y/y   |
| Operating Revenue    | 89,102                   | 78,849                                                     | (12%) | 78,849 | (12%) | 78%      | 116,251   | 101,000                                                 | (13%) |
| Operating Expenses   | 48,975                   | 42,472                                                     | (13%) | 39,890 | (19%) | 73%      | 65,131    | 55,000                                                  | (16%) |
| Operating Income     | 40,127                   | 36,377                                                     | (9%)  | 38,959 | (3%)  | 85%      | 51,120    | 46,000                                                  | (10%) |
| Ordinary Income      | 42,082                   | 38,580                                                     | (8%)  | 41,162 | (2%)  | 86%      | 52,801    | 48,000                                                  | (9%)  |
| Net Income           | 24,396                   | 24,164                                                     | (1%)  | 26,746 | 10%   | 89%      | 29,835    | 30,000                                                  | 1%    |
| EBITDA               | 53,702                   | 50,085                                                     |       |        |       |          | 68,241    | -                                                       | -     |
| Dividend per share*3 | -                        | -                                                          |       |        |       |          | 43.00 yen | 44.00 yen                                               | -     |

\*1 IFRS is scheduled to be adopted from the year-end earnings results of FY 2014. Figures include the impact of this adoption. (See slide 20)

\*2 Figures based on forecast revised on January 20, 2015.

\*3 Total of 2Q and end-of-year. (figures include stock split conducted in Oct. 2013)

## ➤ Average Daily Trading Volume/Value of Major Products

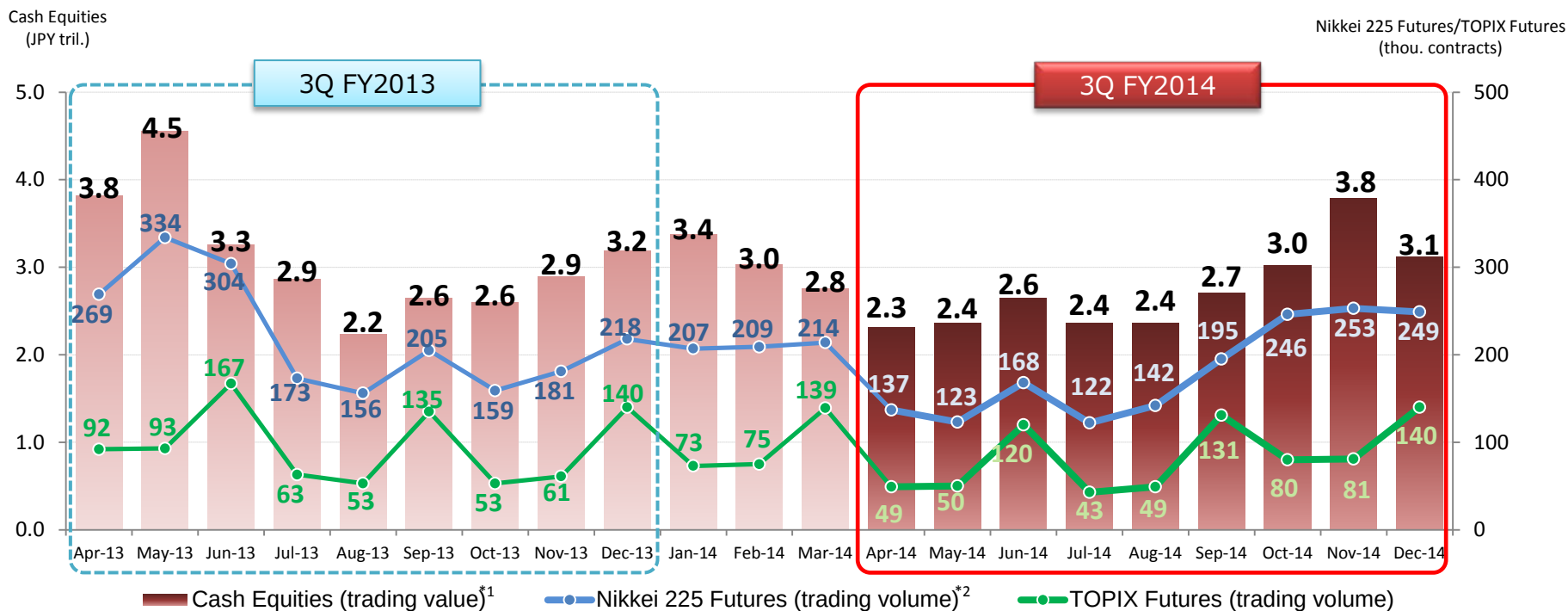
|                                        | 3Q FY2013         | 3Q FY2014         |       | FY2013            | FY2014<br>(Assumptions for forecasts) |       |
|----------------------------------------|-------------------|-------------------|-------|-------------------|---------------------------------------|-------|
|                                        |                   |                   | y/y   |                   | (Revised) *3                          | y/y   |
| Cash Equities (trading value) *1       | JPY 3,113.6 bil.  | JPY 2,727.1 bil.  | (12%) | JPY 3,098.8 bil   | JPY 2,600.0 bil.                      | (16%) |
| TOPIX Futures (trading volume)         | 93,680 contracts  | 82,219 contracts  | (12%) | 94,297 contracts  | 79,000 contracts                      | (16%) |
| Nikkei 225 Futures (trading volume) *2 | 221,215 contracts | 180,836 contracts | (18%) | 218,619 contracts | 172,000 contracts                     | (21%) |
| Nikkei 225 Options (trading value)     | JPY 41.9 bil.     | JPY 27.7 bil.     | (34%) | JPY 40.0 bil.     | JPY 27.0 bil.                         | (32%) |
| 10-year JGB Futures (trading volume)   | 34,506 contracts  | 35,888 contracts  | 4%    | 34,975 contracts  | 35,000 contracts                      | 0%    |

\*1 Incl. ETFs/ETNs and REITs, etc. \*2 Incl. Nikkei 225 mini (calculated using factor of 1/10) \*3 Revised on January 20, 2015

# Market Trend

- Equity trading value picked up since October to exceed JPY 3 trillion daily even though the 3Q average remains 12% short of last year's highs.
- Derivatives trading volumes grew on greater volatility but remained lower year-on-year, due to light trading in the first half.

## ➤ Average daily trading volume/value of major products

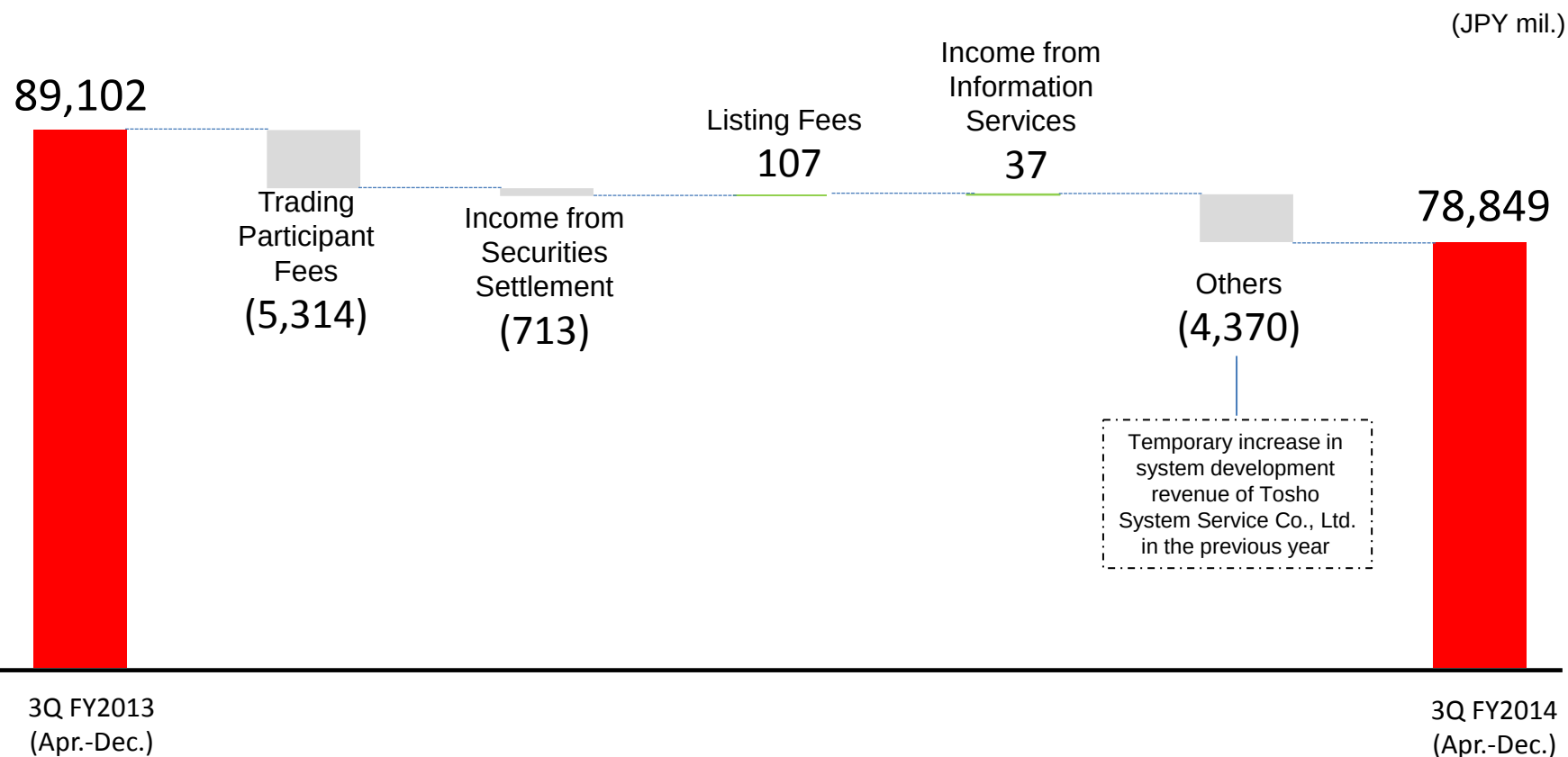


\*1 Total of trading value of common stocks on TSE 1st/2nd Sections (including former OSE 1st/2nd Sections), Mothers, JASDAQ, TOKYO PRO Market, and ETFs/ETNs, REITs etc.

\*2 Contracts of Nikkei 225 mini are calculated using a factor of 1/10

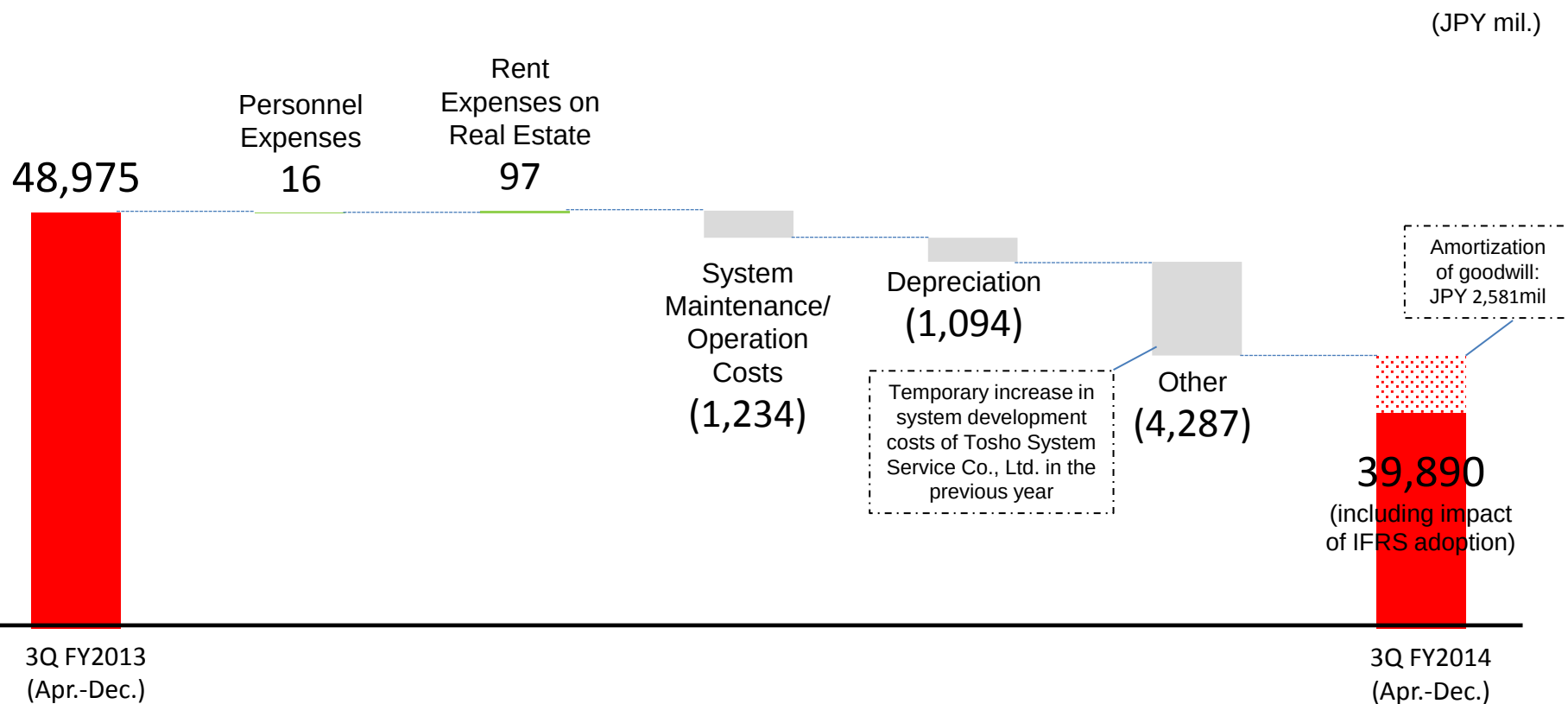
# Operating Revenue

- Trading participant fees and income from securities settlement decreased from the previous year due to declines in cash and derivatives trading.
- Listing fees increased due to an increase in annual listing fees mainly from growth in listed company market capitalization.



# Operating Expenses

- System maintenance/operation costs and depreciation declined due to system integration for cash equities and derivatives.



## II. Business Developments

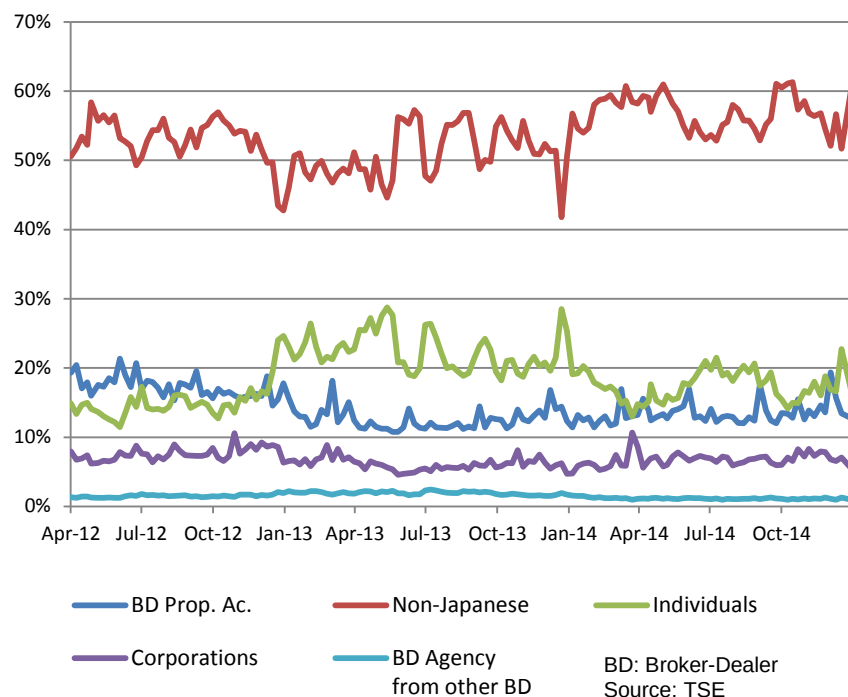
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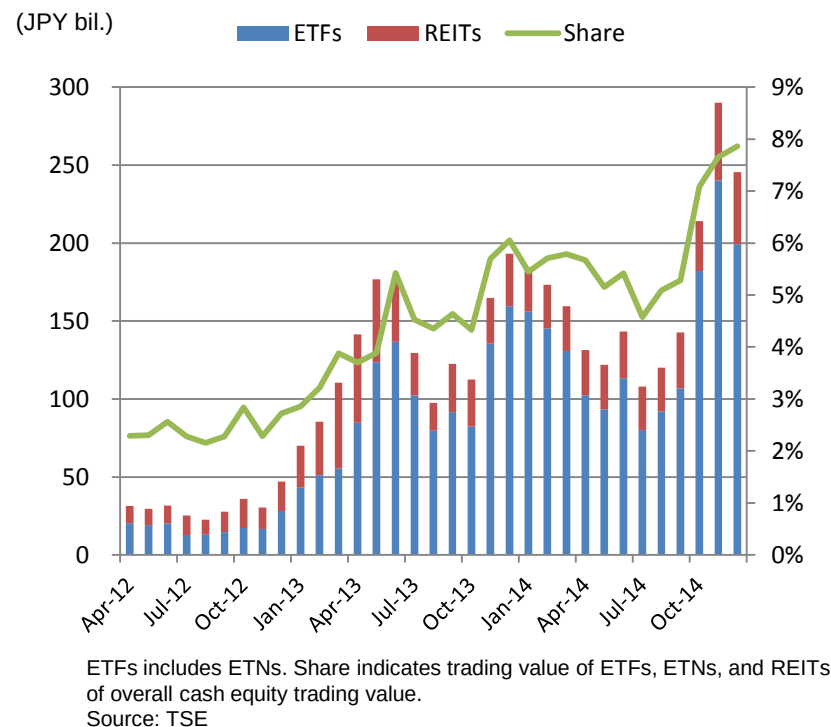
# Cash Equities

- Cash equity trading value hovered around a daily average of about JPY 2.7 trillion. Market capitalization exceeded JPY 500 trillion for the first time in about 7 years.
- Trading value of ETFs/ETNs and REITs remained strong, with its share of overall cash equity trading breaching 7% to reach an all-time high.

## ➤ Trading value by investor type (TSE 1st Stocks)



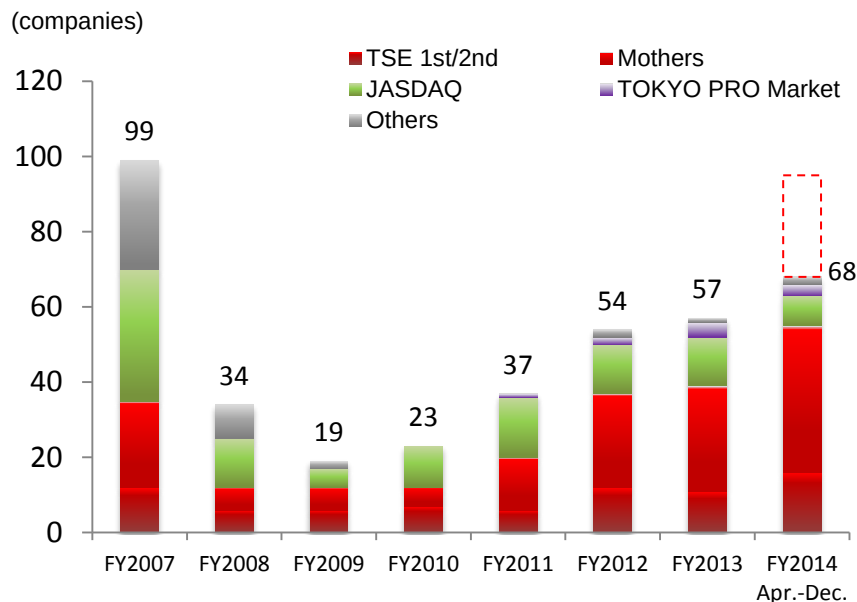
## ➤ ADV of ETFs and REITs



# Cash Equities

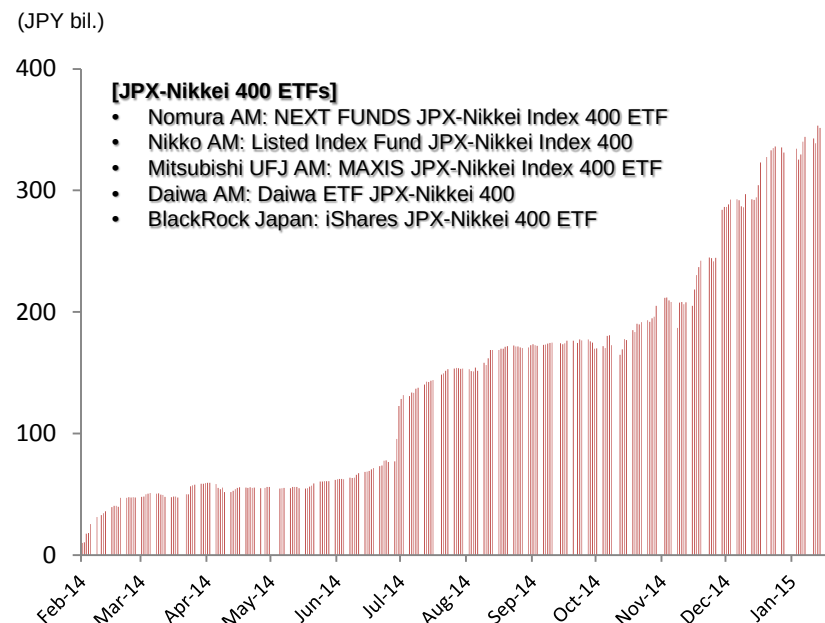
- IPOs on TSE increased to 66 from 44 for the previous year.
- ETFs tracking the JPX-Nikkei 400 grew to 5 issues.
- The exposure draft of Japan's Corporate Governance Code was published in December. Related TSE rule revisions are being prepared for implementation on June 1.

## ➤ IPOs in Japan



Source: TSE and each securities exchange

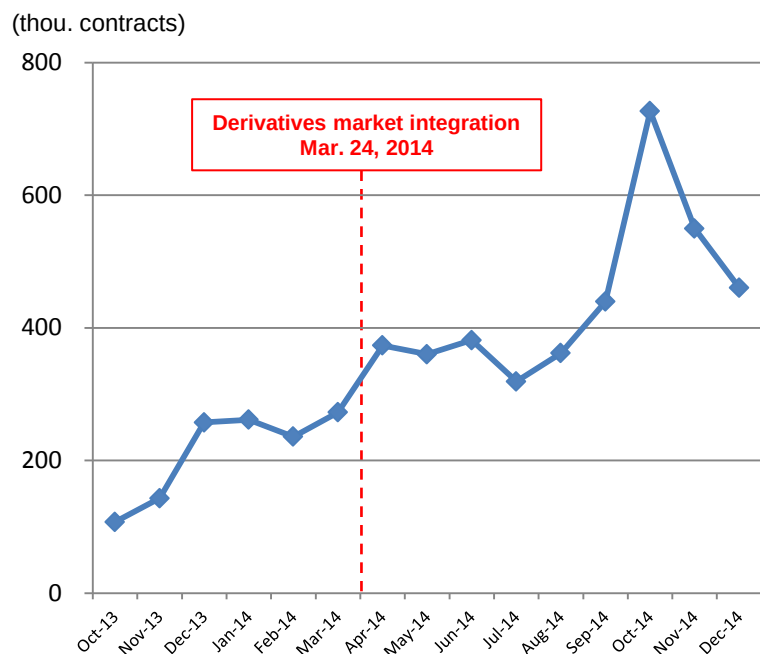
## ➤ AUM of JPX-Nikkei 400 ETFs



# Derivatives

- Since the derivatives market integration, mini-TOPIX Futures trading volume has hovered close to record highs.
- JPX-Nikkei 400 Futures started smoothly with more than 50,000 contracts traded daily since launch.

## ➤ Trading volume of mini-TOPIX Futures



## ➤ Major derivatives products

### Japanese Equity

#### <Index>

- Nikkei 225 Futures
- Nikkei 225 mini
- Nikkei 225 Options
- **Weekly options** (to be launched by the end of May 2015)
- TOPIX Futures
- mini-TOPIX Futures
- **JPX-Nikkei 400 Futures** (Launched on Nov. 25, 2014)

#### <Stock>

Individual Securities Options

### Foreign Equity

- DJIA Futures
- **CNX Nifty Futures** (Launched on Mar. 24, 2014)

### Interest Rate

- 10-year JGB Futures
- Options on 10-year JGB Futures
- **Super long-term (20-year) JGB Futures** (Launched on Apr. 7, 2014)

# Expansion of Exchange Business Fields

- Outstanding obligation assumption for yen-denominated interest rate swaps surpassed JPY 1,100 trillion as clearing participants expanded to 23 companies and client clearing grew to 14 companies.
- Started clearing single-name credit default swaps on December 15.

## ➤ Business fields of JSCC

### Listed Products

- Cash trading
- Derivatives trading

### OTC Products

- CDS (Index CDS: launched in Jul. 2011  
**Single-name CDS: launched in Dec. 2014**)
- Yen-denominated IRS (Launched in Oct. 2012)
- JGBs (JGBCC merged with JSCC to become a JPX subsidiary in Oct. 2013)

### Future Plan

- **Cross-margin (FY2015)**
- **Foreign-currency-denominated IRS (FY2015)**

### Eligible issues of single-name CDS clearing

FUJITSU LIMITED  
 JFE Holdings, Inc.  
 Kobe Steel, Ltd.  
 Mitsui Chemicals, Inc.  
 Mitsui O.S.K. Lines, Ltd.  
 Nippon Paper Industries Co.,Ltd..  
 NIPPON STEEL & SUMITOMO METAL  
 CORPORATION NISSAN MOTOR CO., LTD.  
 Oji Holdings Corporation  
 Panasonic Corporation  
 SONY CORPORATION  
 TOSHIBA CORPORATION

- On November 1, the Hong Kong representative office was established, further strengthening our outreach to investors in Asia to promote the appeal of the Japanese market.
- On December 4, JPX and SGX entered into a Letter of Intent to collaborate in the joint development and promotion of the markets on both exchanges. This cooperation further deepens the exchanges' long-standing relationship and strategic partnership.
- On December 23, a joint venture agreement on establishing Yangon Stock Exchange was concluded in preparation for its launch in 2015.
- Since 2014, JPX has provided technical support for developing derivatives CCP\* rules in Vietnam, and will extend support to system development. (\*Central Counter Party)

## ➤ Representative Offices

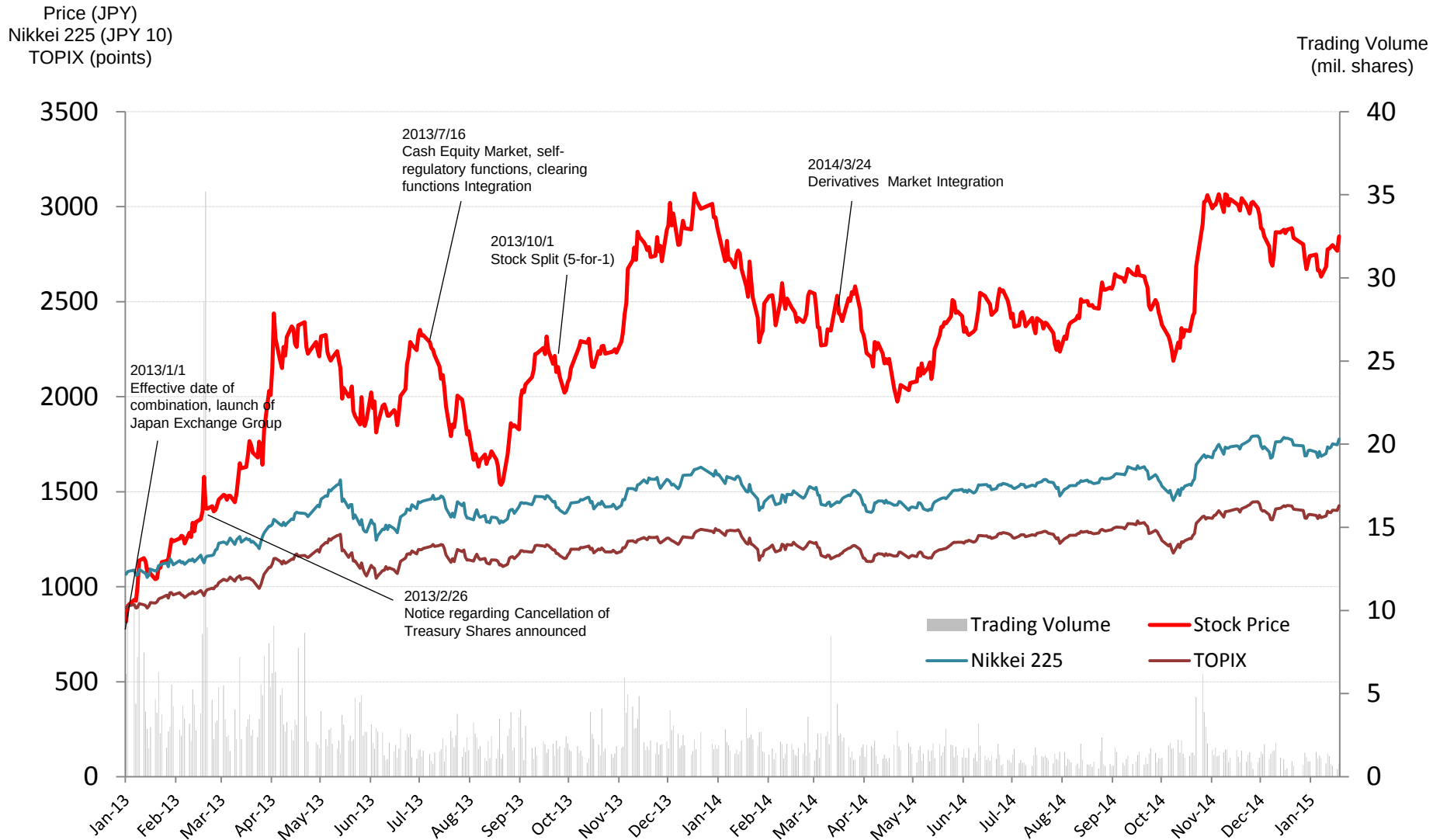
- New York
- London
- Singapore
- Beijing
- Hong Kong (since Nov. 2014)  
Suite 01, 66/F, The Centre,  
9 Queen's Road Central  
Contact: 852 3965 3050

## ➤ Overview of the Yangon Stock Exchange

|              |                                                                                                                                                         |
|--------------|---------------------------------------------------------------------------------------------------------------------------------------------------------|
| Name         | Yangon Stock Exchange Joint-Venture Company Limited (abbreviation: YSX)                                                                                 |
| Location     | Yangon, Myanmar                                                                                                                                         |
| Shareholders | Myanma Economic Bank, Japan Exchange Group, Daiwa Institute of Research                                                                                 |
| Capital      | 32 billion Kyats (approx. JPY 3.7 billion)                                                                                                              |
| Directors    | Myanma Economic Bank : Three persons (including the company president)<br>Japan Exchange Group : One person<br>Daiwa Institute of Research : One person |



# JPX Stock Price



Listed on both the TSE1st Section and JASDAQ from January 1 to July 15, 2013. Prices above are prices on the TSE1st Section. Trading volumes above are the total of those on TSE1st Section and JASDAQ. Due to the 5-for-1 stock split effective on October 1, 2013, the stock prices from January to September 2013 are calculated as 1/5.

### III. Reference Material

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# Referential Financial Data

## ➤ Quarterly Business Performance

(JPY mil.)

|                                                              | FY2013                                |                                        |                                        |                                        | FY2014                                |                                       |                                       |
|--------------------------------------------------------------|---------------------------------------|----------------------------------------|----------------------------------------|----------------------------------------|---------------------------------------|---------------------------------------|---------------------------------------|
|                                                              | 1Q<br>(Apr. 1, 2013-<br>Jun 30, 2013) | 2Q<br>(Jul. 1, 2013-<br>Sep. 30, 2013) | 3Q<br>(Oct. 1, 2013-<br>Dec. 31, 2013) | 4Q<br>(Jan. 1, 2014-<br>Mar. 31, 2014) | 1Q<br>(Apr. 1, 2014-<br>Jun 30, 2014) | 2Q<br>(Jul. 1, 2014-<br>Sep 30, 2014) | 3Q<br>(Oct. 1, 2014-<br>Dec 31, 2014) |
| <b>Operating Revenue</b>                                     | 36,099                                | 25,623                                 | 27,379                                 | 27,148                                 | 24,763                                | 24,987                                | 29,098                                |
| <b>Operating Expenses</b><br>(incl. impact of IFRS adoption) | 18,156                                | 15,364                                 | 15,454                                 | 16,156                                 | 13,914<br>13,053                      | 13,978<br>13,118                      | 14,578<br>13,718                      |
| <b>Operating Income</b><br>(incl. impact of IFRS adoption)   | 17,943                                | 10,258                                 | 11,925                                 | 10,992                                 | 10,848<br>11,709                      | 11,009<br>11,869                      | 14,519<br>15,380                      |
| <b>Ordinary Income</b><br>(incl. impact of IFRS adoption)    | 18,655                                | 10,261                                 | 13,165                                 | 10,718                                 | 11,451<br>12,312                      | 11,399<br>12,260                      | 15,729<br>16,590                      |
| <b>Net Income</b><br>(incl. impact of IFRS adoption)         | 11,209                                | 5,341                                  | 7,846                                  | 5,438                                  | 7,068<br>7,929                        | 7,031<br>7,891                        | 10,064<br>10,924                      |
| <b>EBITDA</b>                                                | 23,089                                | 13,421                                 | 17,191                                 | 14,538                                 | 15,011                                | 15,172                                | 19,901                                |

# Referential Financial Data

## ➤ Operating Revenue

(JPY mil.)

|                                              | FY2013                               |                                      |                                      |                                      | FY2014                               |                                      |                                        |             |              |
|----------------------------------------------|--------------------------------------|--------------------------------------|--------------------------------------|--------------------------------------|--------------------------------------|--------------------------------------|----------------------------------------|-------------|--------------|
|                                              | 1Q<br>(Apr.1, 2013-<br>Jun 30, 2013) | 2Q<br>(Jul.1, 2013-<br>Sep.30, 2013) | 3Q<br>(Oct.1, 2013-<br>Dec.31, 2013) | 4Q<br>(Jan.1, 2014-<br>Mar.31, 2014) | 1Q<br>(Apr.1, 2014-<br>Jun 30, 2014) | 2Q<br>(Jul.1, 2014-<br>Sep.30, 2014) | 3Q<br>(Oct. 1, 2014-<br>Dec. 31, 2014) |             |              |
|                                              | Amount                               | Amount                               | Amount                               | Amount                               | Amount                               | Amount                               | Amount                                 | Ratio       | y/y          |
| <b>Trading Participant Fees</b>              | <b>17,317</b>                        | <b>11,772</b>                        | <b>12,358</b>                        | <b>12,707</b>                        | <b>11,140</b>                        | <b>11,517</b>                        | <b>13,475</b>                          | <b>46%</b>  | <b>9%</b>    |
| Transaction Fees                             | 14,869                               | 9,660                                | 10,266                               | 10,550                               | 9,092                                | 9,452                                | 11,323                                 |             | 10%          |
| Cash Equities                                | 10,154                               | 7,058                                | 7,367                                | 7,477                                | 6,753                                | 6,866                                | 7,583                                  | 67%*        | 3%           |
| Derivatives                                  | 4,714                                | 2,602                                | 2,899                                | 3,072                                | 2,339                                | 2,585                                | 3,739                                  | 33%*        | 29%          |
| TOPIX Futures                                | 588                                  | 453                                  | 444                                  | 466                                  | 396                                  | 412                                  | 539                                    |             | 21%          |
| Nikkei 225 Futures (incl. mini)              | 1,605                                | 938                                  | 1,086                                | 1,165                                | 856                                  | 966                                  | 1,456                                  |             | 34%          |
| Nikkei 225 Options                           | 1,932                                | 819                                  | 932                                  | 976                                  | 685                                  | 725                                  | 1,217                                  |             | 30%          |
| 10-year JGB Futures                          | 502                                  | 339                                  | 382                                  | 401                                  | 355                                  | 428                                  | 449                                    |             | 18%          |
| Others                                       | 85                                   | 51                                   | 53                                   | 62                                   | 45                                   | 53                                   | 77                                     |             | 46%          |
| Basic Fees                                   | 353                                  | 284                                  | 275                                  | 270                                  | 268                                  | 267                                  | 266                                    |             | (3%)         |
| Access Fees                                  | 1,430                                | 1,185                                | 1,165                                | 1,197                                | 1,147                                | 1,144                                | 1,218                                  |             | 5%           |
| Trading System Facilities Usage Fees         | 628                                  | 620                                  | 628                                  | 666                                  | 615                                  | 637                                  | 642                                    |             | 2%           |
| Others                                       | 35                                   | 21                                   | 22                                   | 21                                   | 16                                   | 16                                   | 24                                     |             | 12%          |
| <b>Income from Securities Settlement</b>     | <b>6,430</b>                         | <b>4,211</b>                         | <b>5,003</b>                         | <b>4,688</b>                         | <b>4,462</b>                         | <b>4,506</b>                         | <b>5,962</b>                           | <b>20%</b>  | <b>19%</b>   |
| <b>Listing Fees</b>                          | <b>2,517</b>                         | <b>3,179</b>                         | <b>3,400</b>                         | <b>3,210</b>                         | <b>2,875</b>                         | <b>3,045</b>                         | <b>3,284</b>                           | <b>11%</b>  | <b>(3%)</b>  |
| Initial/Additional Listing Fees              | 786                                  | 1,521                                | 1,566                                | 1,413                                | 1,060                                | 1,196                                | 1,385                                  |             | (12%)        |
| Annual Listing Fees                          | 1,730                                | 1,658                                | 1,834                                | 1,797                                | 1,814                                | 1,849                                | 1,899                                  |             | 4%           |
| <b>Income from Information Services</b>      | <b>4,086</b>                         | <b>3,885</b>                         | <b>3,990</b>                         | <b>4,153</b>                         | <b>4,035</b>                         | <b>3,811</b>                         | <b>4,153</b>                           | <b>14%</b>  | <b>4%</b>    |
| <b>Other operating revenue</b>               | <b>5,747</b>                         | <b>2,574</b>                         | <b>2,626</b>                         | <b>2,388</b>                         | <b>2,248</b>                         | <b>2,105</b>                         | <b>2,222</b>                           | <b>8%</b>   | <b>(15%)</b> |
| Network-line Usage Fees                      | 939                                  | 875                                  | 816                                  | 758                                  | 689                                  | 660                                  | 598                                    |             | (27%)        |
| Co-location Usage Fees, Proximity Usage Fees | 609                                  | 617                                  | 655                                  | 683                                  | 687                                  | 712                                  | 725                                    |             | 11%          |
| Others                                       | 4,197                                | 1,081                                | 1,154                                | 946                                  | 871                                  | 732                                  | 899                                    |             | (22%)        |
| <b>Total</b>                                 | <b>36,099</b>                        | <b>25,623</b>                        | <b>27,379</b>                        | <b>27,148</b>                        | <b>24,763</b>                        | <b>24,987</b>                        | <b>29,098</b>                          | <b>100%</b> | <b>6%</b>    |

Figures marked \* are indicate percentage of Transaction Fees.

# Referential Financial Data

## ➤ Operating Expenses

(JPY mil.)

|                                                 | FY2013                                |                                        |                                        |                                        | FY2014                                |                                        |                                        |
|-------------------------------------------------|---------------------------------------|----------------------------------------|----------------------------------------|----------------------------------------|---------------------------------------|----------------------------------------|----------------------------------------|
|                                                 | 1Q<br>(Apr. 1, 2013-<br>Jun 30, 2013) | 2Q<br>(Jul. 1, 2013-<br>Sep. 30, 2013) | 3Q<br>(Oct. 1, 2013-<br>Dec. 31, 2013) | 4Q<br>(Jan. 1, 2014-<br>Mar. 31, 2014) | 1Q<br>(Apr. 1, 2014-<br>Jun 30, 2014) | 2Q<br>(Jul. 1, 2014-<br>Sep. 30, 2014) | 3Q<br>(Oct. 1, 2014-<br>Dec. 31, 2014) |
| <b>Personal Expenses</b>                        | 3,601                                 | 3,752                                  | 3,763                                  | 4,024                                  | 3,735                                 | 3,672                                  | 3,725                                  |
| <b>Rent Expenses on Real Estates</b>            | 1,453                                 | 1,450                                  | 1,470                                  | 1,526                                  | 1,488                                 | 1,498                                  | 1,484                                  |
| <b>System Maintenance &amp; Operation Costs</b> | 2,847                                 | 2,909                                  | 2,976                                  | 2,909                                  | 2,584                                 | 2,443                                  | 2,470                                  |
| <b>Depreciation</b>                             | 3,537                                 | 3,242                                  | 3,149                                  | 3,484                                  | 2,637                                 | 2,898                                  | 3,299                                  |
| <b>Amortization of goodwill</b>                 | 860                                   | 860                                    | 861                                    | 860                                    | 860                                   | 860                                    | 860                                    |
| <b>Other</b>                                    | 5,855                                 | 3,149                                  | 3,233                                  | 3,352                                  | 2,607                                 | 2,604                                  | 2,738                                  |
| <b>Total</b>                                    | 18,156                                | 15,364                                 | 15,454                                 | 16,156                                 | 13,914                                | 13,978                                 | 14,578                                 |

# Referential Financial Data

## ➤ Consolidated Balance Sheets

|                                                                    | Mar. 31, 2014    | Dec. 31, 2014    |
|--------------------------------------------------------------------|------------------|------------------|
| <b>&lt;Assets&gt;</b>                                              |                  |                  |
| <b>Current assets</b>                                              | <b>1,231,231</b> | <b>1,939,778</b> |
| *1 Cash and deposits                                               | 103,813          | 86,864           |
| Operating accounts receivable                                      | 8,995            | 12,567           |
| Securities                                                         | 802              | 770              |
| Work in Process                                                    | 61               | 115              |
| *2 Margin funds for derivatives, etc. and when-issued transactions | 913,437          | 1,432,923        |
| Deposits for clearing funds                                        | 188,734          | 381,571          |
| Deposits as collateral for facilitating settlement                 | 10,500           | 17,500           |
| Other                                                              | 4,898            | 7,479            |
| Allowance for doubtful accounts                                    | (12)             | (13)             |
| <b>Non-current assets</b>                                          | <b>172,482</b>   | <b>180,449</b>   |
| Property, plant and equipment                                      | 7,066            | 8,663            |
| Intangible assets                                                  | 87,810           | 87,256           |
| Goodwill                                                           | 63,932           | 61,350           |
| Other                                                              | 23,878           | 25,906           |
| Investments and other assets                                       | 77,605           | 84,529           |
| Investment securities                                              | 37,344           | 44,614           |
| Net defined benefit asset                                          | 2,914            | 4,011            |
| *3 Legal guarantee funds                                           | 522              | 492              |
| *4 Special assets for default compensation reserve funds           | 27,948           | 27,948           |
| Other                                                              | 9,013            | 7,604            |
| Allowance for doubtful accounts                                    | (138)            | (141)            |
| <b>Total assets</b>                                                | <b>1,403,713</b> | <b>2,120,227</b> |

\*1 TSE receives deposits of money from its trading participants for the purpose of covering the risk of the trading participants defaulting on their obligations. This amount is recorded under assets as cash and deposits and under liabilities as deposits received as trading participant security money.

\*2 JSCC receives deposits of money from their clearing participants for the purpose of covering the risk of the clearing participants defaulting on their obligations. These amounts are recorded under both assets and liabilities in the corresponding items indicated for deposits.

\*3 TSE and OSE receive deposits of money from their trading participants for the purpose of covering the risk of entrustors of securities trading, etc. that arises from the trading participants defaulting on their obligations. These amounts are recorded under both assets and liabilities.

\*4 JPX has reserve funds for the purpose of compensating losses incurred in the clearing operations of JSCC. This amount is recorded under assets as special assets for default compensation reserve funds.

|                                                                             | Mar. 31, 2014    | Dec. 31, 2014    |
|-----------------------------------------------------------------------------|------------------|------------------|
| <b>&lt;Liabilities&gt;</b>                                                  |                  |                  |
| <b>Current liabilities</b>                                                  | <b>1,178,274</b> | <b>1,874,753</b> |
| Operating accounts payable                                                  | 2,994            | 2,392            |
| Short-term loans payable                                                    | 32,500           | 22,500           |
| Income taxes payable                                                        | 17,600           | 2,604            |
| Provision for bonuses                                                       | 1,420            | 510              |
| Provision for directors' bonuses                                            | 366              | 22               |
| *2 Margin funds received for derivatives, etc. and when-issued transactions | 913,437          | 1,432,923        |
| Deposits received for clearing funds                                        | 188,734          | 381,571          |
| Deposits received as collateral for facilitating settlement                 | 10,500           | 17,500           |
| *1 Deposits received as trading participant security money                  | 4,783            | 7,437            |
| Other                                                                       | 5,937            | 7,290            |
| <b>Non-current liabilities</b>                                              | <b>23,420</b>    | <b>25,521</b>    |
| Long-term loans payable                                                     | 10,000           | 10,000           |
| Net defined benefit liability                                               | 7,465            | 6,975            |
| *3 Returnable legal guarantee funds                                         | 522              | 492              |
| Other                                                                       | 5,431            | 8,052            |
| <b>Total liabilities</b>                                                    | <b>1,201,694</b> | <b>1,900,274</b> |
| <b>&lt;Net assets&gt;</b>                                                   |                  |                  |
| <b>Shareholders' equity</b>                                                 | <b>188,485</b>   | <b>201,302</b>   |
| Capital stock                                                               | 11,500           | 11,500           |
| Capital surplus                                                             | 59,726           | 59,726           |
| *4 Retained earnings                                                        | 117,264          | 130,081          |
| Treasury shares                                                             | (5)              | (5)              |
| <b>Total accumulated other comprehensive income</b>                         | <b>7,857</b>     | <b>12,710</b>    |
| Valuation difference on available-for-sale securities                       | 8,006            | 12,749           |
| Remeasurements of defined benefit plans                                     | (149)            | (38)             |
| <b>Minority interests</b>                                                   | <b>5,675</b>     | <b>5,939</b>     |
| <b>Total net assets</b>                                                     | <b>202,018</b>   | <b>219,953</b>   |
| <b>Total liabilities and net assets</b>                                     | <b>1,403,713</b> | <b>2,120,227</b> |

# Major Product Data

## ➤ Trading Volume/Value

|                                                                               | FY2013                                |                                        |                                        |                                        | FY2014                                |                                        |                                       |
|-------------------------------------------------------------------------------|---------------------------------------|----------------------------------------|----------------------------------------|----------------------------------------|---------------------------------------|----------------------------------------|---------------------------------------|
|                                                                               | 1Q<br>(Apr. 1, 2013-<br>Jun 30, 2013) | 2Q<br>(Jul. 1, 2013-<br>Sep. 30, 2013) | 3Q<br>(Oct. 1, 2013-<br>Dec. 31, 2013) | 4Q<br>(Jan. 1, 2014-<br>Mar. 31, 2014) | 1Q<br>(Apr. 1, 2014-<br>Jun 30, 2014) | 2Q<br>(Jul. 1, 2014-<br>Sep. 30, 2014) | 3Q<br>(Oct 1, 2014-<br>Dec. 31, 2014) |
| Trading Value of Cash Equities (JPY mil.) *1                                  |                                       |                                        |                                        |                                        |                                       |                                        |                                       |
| TSE 1st/2nd Section *2 *3                                                     | 214,059,115                           | 143,333,854                            | 151,527,314                            | 152,254,413                            | 128,665,627                           | 132,276,215                            | 171,078,880                           |
| Mothers *2                                                                    | 7,453,258                             | 5,545,080                              | 11,499,388                             | 8,276,773                              | 8,173,604                             | 9,120,144                              | 9,460,573                             |
| JASDAQ *2                                                                     | 9,207,734                             | 6,233,226                              | 6,203,970                              | 6,448,238                              | 6,429,667                             | 6,352,007                              | 4,653,689                             |
| ETFs/ETNs and REITs etc.                                                      | 10,220,654                            | 7,320,863                              | 9,635,497                              | 9,978,334                              | 8,205,419                             | 7,749,624                              | 15,082,345                            |
| Derivatives Trading Volume (contracts) (Trading Value for Nikkei 225 Options) |                                       |                                        |                                        |                                        |                                       |                                        |                                       |
| TOPIX Futures                                                                 | 7,207,955                             | 5,118,622                              | 5,191,516                              | 5,584,606                              | 4,540,465                             | 4,596,852                              | 6,155,327                             |
| Total Nikkei 225 Futures/mini *4                                              | 18,764,763                            | 11,139,399                             | 11,462,951                             | 12,194,518                             | 8,889,164                             | 9,562,272                              | 15,184,014                            |
| Nikkei 225 Futures                                                            | 10,373,289                            | 6,408,145                              | 6,756,891                              | 6,980,710                              | 5,111,644                             | 5,422,599                              | 8,402,820                             |
| Nikkei225mini                                                                 | 83,914,741                            | 47,312,547                             | 47,060,600                             | 52,138,082                             | 37,775,200                            | 41,396,736                             | 67,811,949                            |
| Nikkei 225 Options (JPY mil.)                                                 | 3,968,040                             | 1,895,032                              | 1,970,855                              | 1,956,052                              | 1,414,182                             | 1,345,023                              | 2,397,712                             |
| 10-year JGB Futures                                                           | 2,648,616                             | 1,789,770                              | 2,014,239                              | 2,116,294                              | 1,924,624                             | 2,329,798                              | 2,420,837                             |

## ➤ Average Daily Trading Volume/Value

|                                                                               | FY2013                                |                                        |                                        |                                        | FY2014                                |                                        |                                        |
|-------------------------------------------------------------------------------|---------------------------------------|----------------------------------------|----------------------------------------|----------------------------------------|---------------------------------------|----------------------------------------|----------------------------------------|
|                                                                               | 1Q<br>(Apr. 1, 2013-<br>Jun 30, 2013) | 2Q<br>(Jul. 1, 2013-<br>Sep. 30, 2013) | 3Q<br>(Oct. 1, 2013-<br>Dec. 31, 2013) | 4Q<br>(Jan. 1, 2014-<br>Mar. 31, 2014) | 1Q<br>(Apr. 1, 2014-<br>Jun 30, 2014) | 2Q<br>(Jul. 1, 2014-<br>Sep. 30, 2014) | 3Q<br>(Oct. 1, 2014-<br>Dec. 31, 2014) |
| Trading Value of Cash Equities (JPY mil.) *1                                  | 3,886,141                             | 2,578,302                              | 2,884,939                              | 3,050,996                              | 2,443,134                             | 2,468,222                              | 3,283,205                              |
| Derivatives Trading Volume (contracts) (Trading Value for Nikkei 225 Options) |                                       |                                        |                                        |                                        |                                       |                                        |                                        |
| TOPIX Futures                                                                 | 116,257                               | 81,248                                 | 83,734                                 | 96,286                                 | 73,233                                | 72,966                                 | 100,907                                |
| Total Nikkei 225 Futures/mini *4                                              | 302,657                               | 176,816                                | 184,886                                | 210,250                                | 143,374                               | 151,782                                | 248,918                                |
| Nikkei 225 Futures                                                            | 167,311                               | 101,717                                | 108,982                                | 120,357                                | 82,446                                | 86,073                                 | 137,751                                |
| Nikkei225mini                                                                 | 1,353,464                             | 750,993                                | 759,042                                | 898,932                                | 609,277                               | 657,091                                | 1,111,671                              |
| Nikkei 225 Options (JPY mil.)                                                 | 64,001                                | 30,080                                 | 31,788                                 | 33,725                                 | 22,809                                | 21,350                                 | 39,307                                 |
| 10-year JGB Futures                                                           | 42,720                                | 28,409                                 | 32,488                                 | 36,488                                 | 31,042                                | 36,981                                 | 39,686                                 |

\*1 Total of trading value of common stocks on TSE 1st /2nd Sections(former OSE 1st /2nd Sections), Mothers, JASDAQ, TOKYO PRO Market, and ETFs/ETNs, REITs etc.

\*2 Trading value of common stocks in the auction and off-auction trading

\*3 Including trading value in former OSE 1st/2nd Sections

\*4 Contracts of Nikkei 225 mini are calculated using a factor of 1/10

# Scheduled Adoption of IFRS

- IFRS will be adopted starting with the FY2014 earnings results.
- The primary impact of IFRS adoption is an expected gain of JPY 3.5 billion in incomes mainly due to the exclusion of amortization of goodwill (JPY 3.44 billion annually).
- Earnings forecasts for FY2014 reflecting both Japanese Standards and the impact of IFRS adoption are included for reference below. Dividend forecasts were calculated using these figures.

## <FY2014 Forecast \*>

|                    | Japanese Standards | Including IFRS Adoption Impact |                                    |
|--------------------|--------------------|--------------------------------|------------------------------------|
| Operating Revenue  | JPY 101.0 bil      | JPY 101.0 bil                  |                                    |
| Operating Expenses | JPY 58.5 bil       | JPY 55.0 bil                   | Expenses Decreased by JPY 3.5 bil. |
| Operating Income   | JPY 42.5 bil       | JPY 46.0 bil                   | Income Increased by JPY 3.5 bil.   |
| Net Income         | JPY 26.5 bil       | JPY 30.0 bil                   |                                    |

\* Revised earnings and dividend forecast for FY2014 was announced on January 20, 2015

## <Tentative Disclosure Schedule and Dividend Estimates>

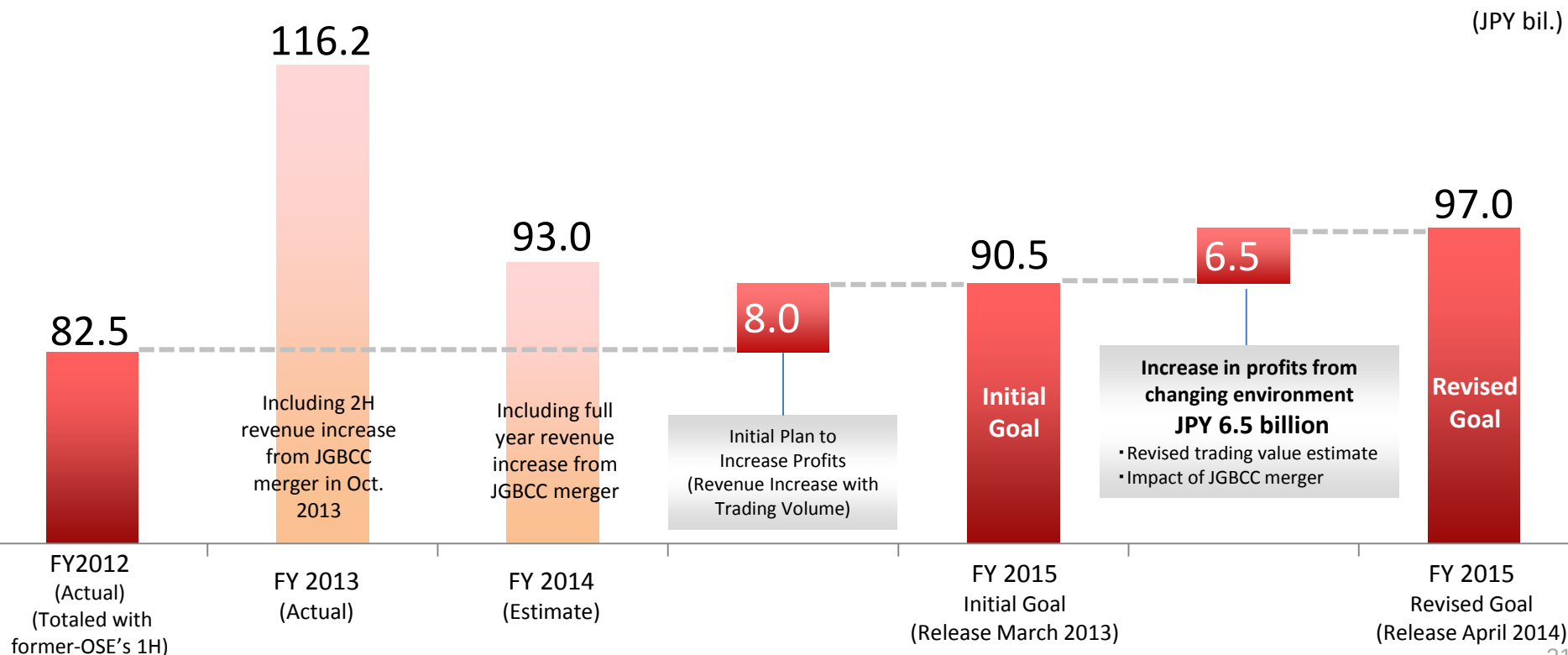
|                                                 | 1Q                 | 2Q                         | 3Q                 | Full Year (Year-end)                              |                                                                              |
|-------------------------------------------------|--------------------|----------------------------|--------------------|---------------------------------------------------|------------------------------------------------------------------------------|
| Earnings Results<br>(Earnings report, etc.)     | Japanese Standards | Japanese Standards         | Japanese Standards | IFRS                                              |                                                                              |
| Forecast<br>(Announced in Jan. 2015)            |                    |                            |                    | Japanese Standards<br>Net Income<br>JPY 26.5 bil. | <Reference><br>Net Income Including<br>IFRS Adoption Impact<br>JPY 30.0 bil. |
|                                                 |                    |                            |                    | (DPR 40%)                                         |                                                                              |
| Dividend (Forecast)<br>(Announced in Jan. 2015) |                    | Interim Dividend<br>JPY 18 |                    | Year-end Dividend (Annual)<br>JPY 26 (JPY 44)     |                                                                              |

# Goals for FY2015 Operating Revenues

(Excerpt from “Update of Medium-Term Management Plan” published on April 28, 2014)

## Revised Estimates for Average Daily Trading Value/Volume

|                                               | FY2012<br>(Actual)                          | FY2013<br>(Actual)                          | FY2014<br>(Estimate)                        | FY2015<br>(initial Estimate)                | FY2015<br>(Rev. Estimate)                          |
|-----------------------------------------------|---------------------------------------------|---------------------------------------------|---------------------------------------------|---------------------------------------------|----------------------------------------------------|
| Stocks (Auction/Off-Auction Market)           | JPY 1.6 trillion                            | JPY 2.9 trillion                            | JPY 2.1 trillion                            | JPY 1.7 trillion                            | <b>JPY 2.1 trillion</b>                            |
| TOPIX Futures                                 | 68,200 contracts                            | 94,000 contracts                            | 104,000 contracts                           | 104,000 contracts                           | <b>115,000 contracts</b>                           |
| Nikkei 225 Futures (Large & Mini Total)       | 153,000 contracts                           | 218,000 contracts                           | 211,000 contracts                           | 217,000 contracts                           | <b>234,000 contracts</b>                           |
| Nikkei 225 Options<br>(Derivatives contracts) | JPY 23.5 billion<br>(260 million contracts) | JPY 40.0 billion<br>(360 million contracts) | JPY 35.5 billion<br>(340 million contracts) | JPY 47.0 billion<br>(400 million contracts) | <b>JPY 41.0 billion</b><br>(400 million contracts) |



# Goals for FY2015 Operating Expenses

(Excerpt from “Update of Medium-Term Management Plan” published on April 28, 2014)

## <Cost Reduction from Integration JPY -8.5 billion>

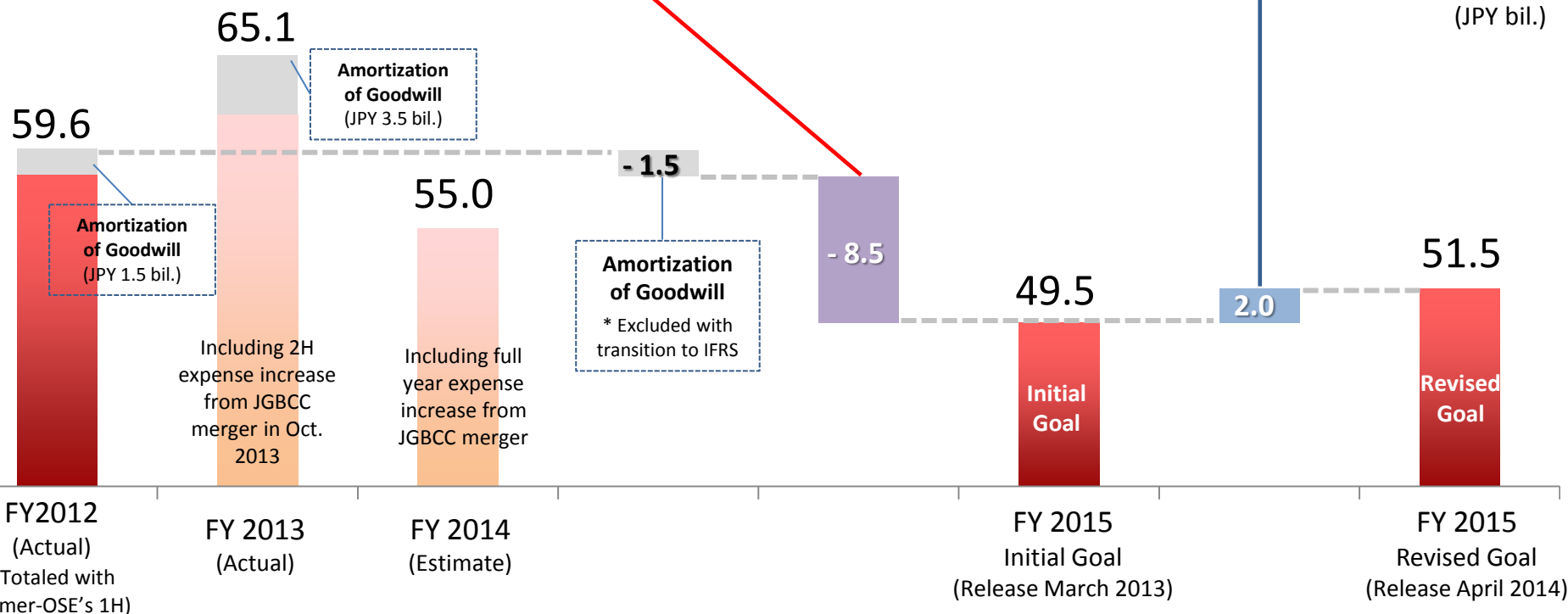
Steady progress on system integration

- ① System-related Cost Reduction: **Goal JPY 7.0 billion**
- ② Other Cost Reductions: **Goal JPY 1.5 billion or more**  
(Revised facilities, efficient operations, etc.)

## <Increase in Expenditures due to Environmental Changes JPY +2 billion>

Impact of JGBCC’s merger with JSCC and expanding arrowhead capacity in response to increased trading, etc.

(JPY bil.)



# Management and Financial Goals

(Excerpt from “Update of Medium-Term Management Plan” published on April 28, 2014)

|                                                            | Japan Standards                  |                                 | Including impact of IFRS adoption *2 |                          |                                 |
|------------------------------------------------------------|----------------------------------|---------------------------------|--------------------------------------|--------------------------|---------------------------------|
|                                                            | FY2012<br>(Actual)               | FY2013<br>(Actual)              | FY2014<br>(Estimate)                 | FY2015<br>(Revised Goal) | (Ref.) FY2015<br>(Initial Goal) |
| <b>Operating Revenue</b>                                   | JPY 82.5 bil.                    | JPY 116.2 bil.                  | JPY 93.0 bil.                        | JPY 97.0 bil.            | JPY 90.5 bil.                   |
| <b>Operating Expenses</b><br>(excl. goodwill amortization) | JPY 59.6 bil.<br>(JPY 58.1 bil.) | JPY 65.1 bil.<br>(JPY 61.6bil.) | JPY 55.0 bil.                        | JPY 51.5 bil.            | JPY 49.5 bil.                   |
| <b>Operating Profit</b><br>(excl. goodwill amortization)   | JPY 22.8 bil.<br>(JPY 24.3bil.)  | JPY 51.1 bil.<br>(JPY 54.5bil.) | JPY 38.0 bil.                        | JPY 45.5 bil.            | JPY 41.0 bil.                   |
| <b>Net Income</b><br>(excl. goodwill amortization)         | JPY 12.9 bil.<br>(JPY 14.4 bil.) | JPY 29.8 bil.<br>(JPY 33.2bil.) | JPY 24.5 bil.                        | JPY 29.5 bil.            | JPY 26.0 bil.                   |
| <b>Annual Dividends<br/>per share</b>                      | JPY 16                           | JPY 43                          | JPY 36                               |                          |                                 |

## <Reference>

|                                                 | Revised                                                   | Initial       |
|-------------------------------------------------|-----------------------------------------------------------|---------------|
| <b>Capital Investment<br/>(FY2013 - FY2015)</b> | <b>JPY 40.0 bil.</b><br>(JPY 36.0 bil.<br>+ JPY 4.0 bil.) | JPY 36.0 bil. |

Increase in capital investment accompanying entry into JGB (OTC) clearing and system capacity expansion.

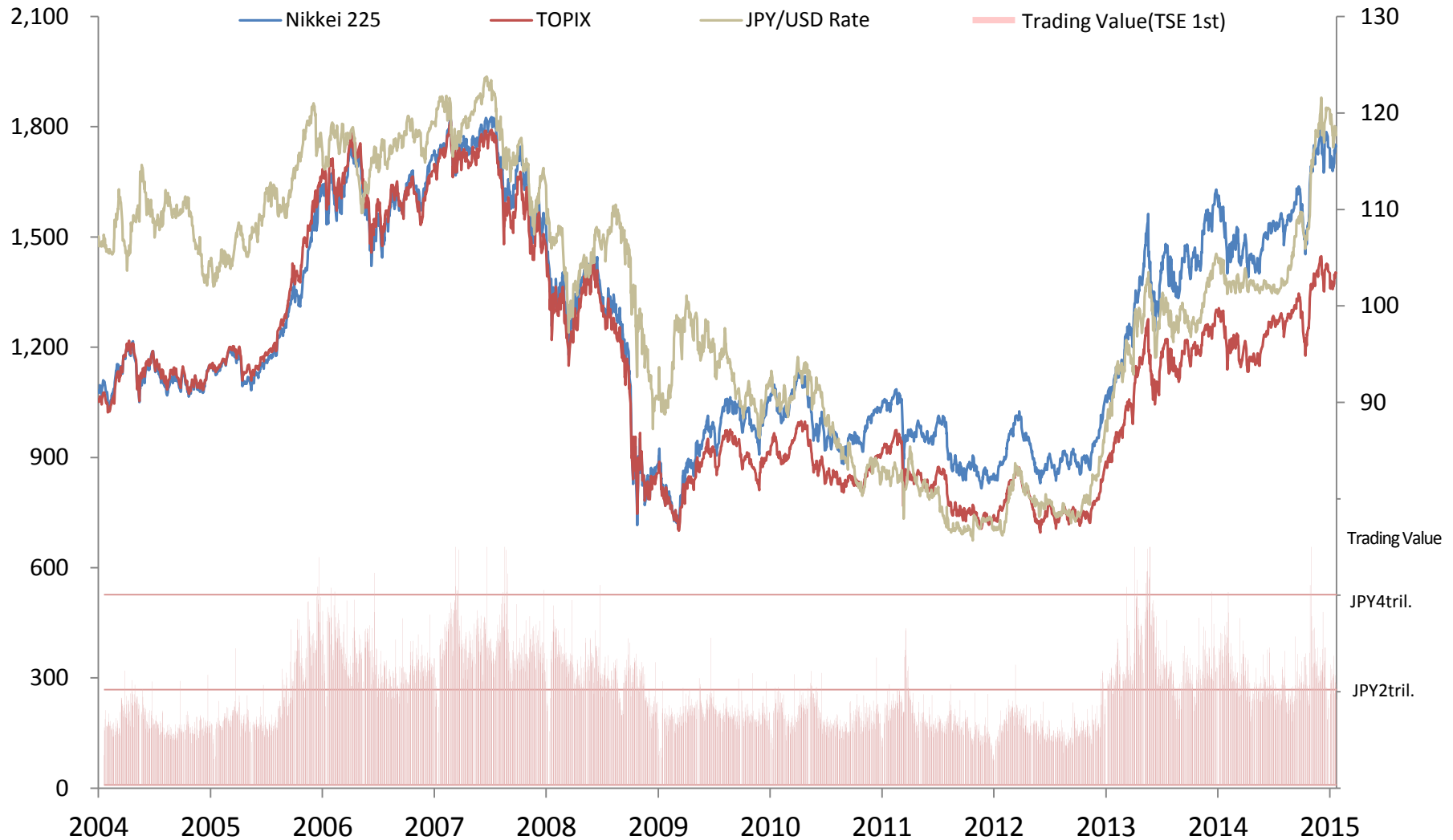
|                                            |               | Revised                           | Initial                           |
|--------------------------------------------|---------------|-----------------------------------|-----------------------------------|
| <b>FY2015<br/>Financial<br/>Indicators</b> | <b>ROE</b>    | <b>15%</b><br>(approx.)           | <b>14%</b><br>(approx.)           |
|                                            | <b>EBITDA</b> | <b>JPY 57.0 bil.</b><br>(approx.) | <b>JPY 50.0 bil.</b><br>(approx.) |

- (Note)
- The above management and financial goals are based on the average daily trading value/volume and other figures shown on P.21. The average daily trading value/volume figures were set by JPX based on actual past results, but may be largely influenced to market conditions and other external factors.
  - Due to the scheduled adoption of IFRS from the end of FY2014, “amortization of goodwill” will be excluded from operating costs in FY2014 and FY2015.
  - The figure for annual dividends per share includes the 5-for-1 stock split effective on October 1, 2013.
  - ROE is calculated excluding special assets for default.

# Japanese Stock Market

Nikkei 225 (JPY 10)  
TOPIX (points)

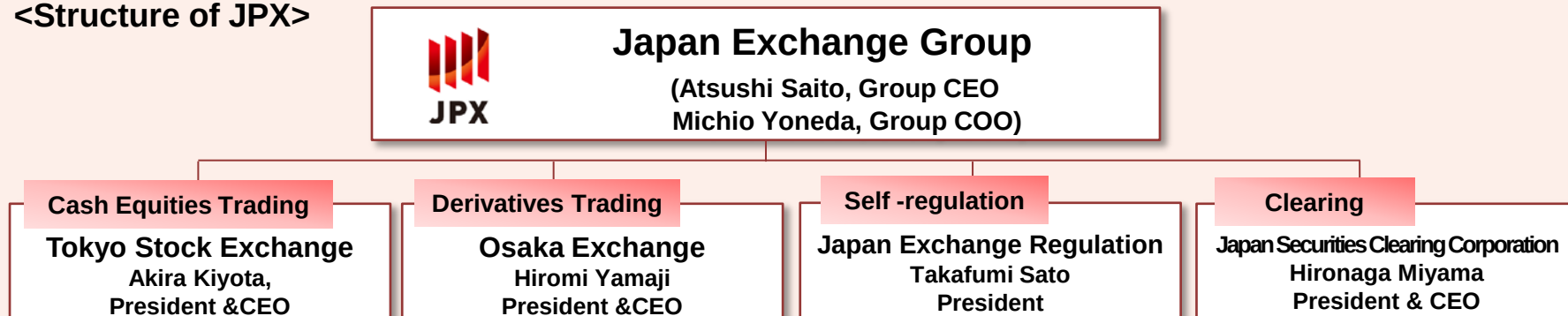
(JPY/USD)



# Outline of JPX Stock

|                                      |                                                                                                                                                                                                                                                                                                                                                                                                                              |
|--------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Stock Code                           | 8697                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Listed Exchange                      | Tokyo Stock Exchange 1 <sup>st</sup> Section                                                                                                                                                                                                                                                                                                                                                                                 |
| Fiscal Year                          | From April 1 to March 31                                                                                                                                                                                                                                                                                                                                                                                                     |
| Annual General Shareholders Meeting  | In June                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Record Date                          | March 31                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Number of Shares in One Trading Unit | 100 shares                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Number of Shares(*)                  | Total number of shares authorized to be issued: 1,090,000,000 shares<br>Total number of shares issued: 274,534,550 shares<br>* A 5-for-1 stock split was conducted with an effective date of Oct. 1, 2013.                                                                                                                                                                                                                   |
| Basic Policy on Profit Distribution  | Giving due consideration to the importance of internal reserves for the purpose of development of the system for strengthening competitiveness, etc. as an exchange, and for the purpose of being prepared for the risks as the clearing organization, JPX makes it a principle to conduct stable and continuous payment of dividends. <b><u>Specifically, JPX aims at a target dividend payout ratio of around 40%.</u></b> |

## <Structure of JPX>



# Disclaimer

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